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Kambi Q3 Report

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1 Company Overview

Kambi is a world leader in sportsbook technology, offering a comprehensive suite of products.

- Turnkey sportsbok
- Odds fee +
- Bet builder

2 Financial Performance Analysis

2.1 Positive Highlights

- Total expenses decrease of 10.3%
- Cash flow (excluding working capital and M&A) amounted to €6.1m (5.7m) for the quarter and €15.2m (19.2m) for the period January to September 2025.

2.2 Negative Aspects and Concerns

- Decrease in revenue 13% (8.1 % adjusted for one of payment) YoY
- Whole year, 2025 adjusted revenues decreased by 1.2 %
- Operating profit for the third quarter was €1.6m (55%), at a margin of 4.3% (8.3%) and €4.0m (14.2m), at a margin of 3.4% (10.7%) for the period January to September 2025.
- Profit 1.0m€ (59 %)
- Earnings per share for the quarter were €0.036 (0.083) and €0.072 (0.345) year-to-date.

2.3 Management's Commentary and Outlook

- Since the start of Q3, Kambi has signed seven Turnkey Sportsbook partners, three Odds Feed+ deals and two partner renewals – a clear reflection of the commercial progress we are making.
- **Last year included the Euros, Copa América and the Olympics, and the ongoing increased impact of gaming-related taxes.** We continue to see the benefits of our cost efficiency programme, which will continue into Q4 and 2026.

2.4 Key Financial Metrics and Historical Comparison

- Gross margin = 81 % (60%)
- Ebit margin = 6.1 % (12%)
- Profit margin = 4.1 % (10%)
- ROIC = 5.6 % (10%)
- ROE = 4.4 % (8%)

2.4.1 Revenue Growth

Negative revenue growth compared to 2024. Stagnation in growth since 2021.

2.4.2 Profitability (e.g., Net Income, EPS)

EPS = 0.25€ (declining trend)

2.4.3 Valuation

- P/E = 40 (High - lower earnings),
- P/S = 1.8 (Low end historicaly)
- EV/EBIT = 25.1 (High - lower ebit)
- EV/S = 1.5

2.5 Our Club's Commentary and Investment Thesis

Negative, Lost big customers during pandemic (draft kings, penn kindred). Buisness case is questioned if customer develop sports books inhouse. Positive, has replaced and diversified from few big customers. Revenue has been flat instead of declining. Almost no sports event compared to 2024. World cup next year among other events.

- Future prospects: Kambi extended their colab with penn and leovegas
-> More difficult to run your sportsbok inhouse then expected. Next year should sports calender should improve
- Reason to buy: buy now and hold for a year. Easier comps next year and more sports events. Sentiment around igaming is low, hated sector = buy

- Risks: regulatory risks, more taxes. More delay in Brazil. Operating profits does not improve, turn around does not happen, stock prize should go down. Valuation is not that low on earnings. Market expects Kambi increase earnings, priced in.

3 Conclusion and Recommendations

Buy - Bet on improved sportbook events, better org after reduction in costs and increase in earnings. Hold 1 year. Reevaluate 2026 q4